what India wanted to buy. Nehru recalls that Eady had said, ‘Watch your dollars’ as they were saying goodbye. He did not understand the warning then but now it all fell into place. This change necessitated another delegation to renegotiate the amount which would be convertible. Nehru was to lead this delegation but the horrors of Partition intervened. Keith Roy was sent in his place and according to Nehru, he ‘did as good a job as he could have done in the altered circumstances.’[20] Ultimately, India’s current earnings of sterling as well as the amounts released under the agreement were not rendered inconvertible, but the UK government made an appeal to India to minimize her dollar expenditure.

In January 1948, a delegation from the UK led by Sir Jeremy Raisman visited India for further negotiations for releases from January 1, 1948. The Indian side comprised the usual suspects: Narahari Rao and Cayley of the RBI. The negotiations led to the extension of the earlier agreement on the same basic principles. However, the suspension of convertibility of sterling and the balance of payments problems of the UK resulted in significant modification. Also, the partition of India necessitated separate releases for Pakistan’s account.

Negotiations with the British government were renewed in London in June–July 1948 with the aim of securing a long-term settlement to cover at least three years with adequate safeguards for later years. The delegation was led by Finance Minister R.K. Shanmukham Chetty and included Deshmukh, V.T. Krishnamachari, T.T. Krishnamachari, Purshotamdas, and Laljee Mehrotra, President of FICCI. Deshmukh was accompanied by P.J. Jeejebhoy who had become the Deputy Controller of Exchange at the RBI and P.S. Narayan Prasad, Director of Monetary Research, as his advisers. Among the subjects discussed was the price to be paid by the Government of India for the purchase of UK’s military stores and installations in India on April 1, 1947, a tapering annuity to meet the sterling pensionary and provident fund liabilities of the Government of India, a settlement of the amount to be released from the sterling balances for current use, and the convertibility of a portion of this release into a multilaterally convertible currency.

The negotiations resulted in an extension of the agreement of August 1947 (with some modifications) for three years up to June 1951. A fresh release of £80 million from the No. 2 account was to be made for the whole